

LFTO pitch deck

PITCH — LFTO — VERDICT

ADJUDICATED 2026-08-21 — FLAT / DEFER — no position through print+lockup; EXIT the foreign-bought 300sh; PULL the 16.50 GTC

(Liftoff Mobile, Inc., CIK 1850351. Last price in the evidence pack: \$18.36, against a 52-week low of \$18.11 — a fresh all-time low, 1.4% above it. Both benches argued off the 8/17 close of \$19.53; the stock has fallen another 6% since. Position on the books: 300 shares at an average cost of \$18.4054, bought by an outside agent without authority. See “What we checked ourselves.”)

What we believe

Liftoff is a mobile advertising marketplace — it buys and sells app install and in-app ad inventory for other companies. It went public on 2026-06-03 at \$23 a share, backed by Blackstone (49.5%) and General Atlantic (15%). It is real, cash-generative, and growing: roughly \$875M of revenue guided for 2026, about \$514M of adjusted profit, \$305M of cash against \$1.44B of term debt.

We believe one thing about it with confidence, and it comes straight from the company’s own audited filings and its own guidance: **growth is slowing, quarter after quarter, and the slowdown is not fully explained by anything the company has disclosed.** Year-over-year revenue growth steps down 37% → 35% → 22% → 19% across the four quarters of 2026, where the last two are the company’s own guidance. Roughly \$13M a quarter of that deceleration has no disclosed one-time cause.

We also believe the second thing more strongly than the first: **there is a very large, dated supply of stock coming.** 147.5M restricted shares become sellable on 2026-11-30 — 6.7 times the 21.85M shares that currently trade. That lands two to three weeks *after* the next earnings report, expected around 2026-11-11.

And we believe the thing that actually decides the trade: **we do not have a differentiated view.** Not bullish, not bearish. Our own bearish analyst’s revenue estimate for the next quarter sits *above* the published consensus. When your bear case is more optimistic than the street’s, you do not have a short, and you certainly do not have a long. So: no position. Not “never” — **defer**, with a specific date and specific triggers to come back.

The one directional statement we will make is about *when*: a flood of supply from forced-ish sellers is where a buyer gets paid, not where a buyer gets run over. **December is the entry, not the exit.**

What the market believes

The stock is priced as a business that is decelerating and that has a supply problem — and it is priced roughly correctly for both.

- Thirteen analysts cover it. All thirteen rate it Buy, with an average target of \$35.46. Every one of them worked on the IPO or its syndicate. This is not independent opinion; it is the underwriters' book, and we discount it accordingly.
- The number that actually carries information is the consensus revenue estimate for Q3: **\$214.8M**. The company guided \$217–222M. So the street had *already* cut its estimate below the company's own recent trend, and the guidance came in above it. The market is not asleep on the slowdown; it has been modeling it.
- The tape says the same. The stock is down about 39% from its high and just made a new all-time low four days after the last earnings report, on no news. Only 12.9% of the company's shares actually trade. This is a broken sponsor-backed IPO still finding its clearing price, not a stable business that got mispriced by a panic.

Put plainly: the market believes growth is halving and that the sponsors will eventually sell. We checked, and we believe the same things. That's the problem.

Why we might have edge

Three honest candidates, none of which survived contact with the evidence at full strength:

1. **We did the seasonality work that nobody in the sell-side book appears to have done.** Our bearish analyst tested the flat quarterly guidance against the company's own history of same-quarter growth rather than against consensus. That is the right test, and it is rarely run. It produced a real finding — the guided quarter is below the company's own recent sequential trend by roughly \$15M — but a much smaller one than first claimed (see below).
2. **We bounded the benign explanation with arithmetic instead of accepting or rejecting it.** The bull story is that Q2 “borrowed” revenue from Q3, so the flat quarter is a calendar artifact. If that's true, the borrowed amount has a ceiling: the company's own full-year guidance implies Q4 revenue of \$230.4M, and Q3 plus the borrowed amount must be less than that. That caps the borrowing at **\$10.9M**. The trend gap is about \$15M. So the benign story can explain at most two-thirds of the gap, and **at least ~\$13M per quarter is unexplained**. That is a tighter, more defensible version of the bear case than either the street or our own first draft had.
3. **We found that a widely-cited dilution overhang runs backwards at this price.** The management option pool — 21.6M options, 12.7% of shares outstanding, with no expense yet recognized — only vests if the sponsors sell at a price achieving a specified return. At \$18.36, 20% below the \$23 IPO price, that condition fails. So the dilution is a bull-case-only cost, and management is actively *disincentivized* from supporting a cheap secondary offering. That cuts against the supply-cliff fear, not for it. Most people carrying this name as “dilution overhang + lockup cliff” are double-counting one event and getting its direction wrong.

Why none of this is an edge today: all three are refinements of a view the market already holds. Better-sourced agreement is not a position. The genuine edge, if there is one, is *timing* — we know the

date the supply arrives and we know that the people who own it are structurally unwilling to sell below \$23. That is an edge you exercise in December, not in August.

Why it might be priced in

- **It is priced in, on the evidence.** Consensus \$214.8M vs. our bear's \$217M-or-under. Our pessimism is less pessimistic than theirs.
- The lockup date is public and in the prospectus. Everyone with a calendar has it.
- The 39% drawdown already happened. We are not looking at a business about to be re-rated; we are looking at one that was re-rated, correctly, in front of us.
- The valuation is not screaming either way: about 8.6x enterprise value to adjusted profit at \$19.53 (roughly 8.2x at \$18.36, our arithmetic). That is cheap for a 30%-grower and fair-to-full for a 19%-grower. Which one it is, is exactly the open question. There is no valuation asymmetry to lean on.
- The one thing that is *not* priced is the possibility of a sandbag: a sponsor-controlled company's first-ever public guidance is the single most likely place in the market to find a deliberately low bar. Both benches named this as their main residual doubt. It is a reason to watch, not a reason to own — you don't pay for a sandbag you can't verify.

What we checked ourselves

Every row here is something we tested rather than accepted. Several rows are our own analysts being wrong; those are listed with the same weight as everything else.

Claim	How checked	Found	Confirmed?
"Q3 is seasonally the strongest quarter; a flat guide is ~\$24M / 9.7% below normal" (our bear's headline kill)	Pulled the full quarterly revenue series the bear cited and inspected it row by row	The source's Q1'24 and Q2'24 rows are identical to the cent on revenue (\$120.79M), operating income (\$16.58M) <i>and</i> net income (-\$3.66M). That is a duplicated row, not a flat quarter. The "+12.2% in 2024" was computed across a phantom quarter. Those 2024 quarters have no XBRL filing behind them at all — there was no primary source. Clean gap to trend: \$14.7M / 6.7% , not \$24M / 9.7%	NO — our own headline finding was a data-scraping artifact. Magnitude overstated ~60%; "seasonal normal" framing withdrawn (Q3 seasonality rests on one observation)
"GAAP profitability already broke — operating income fell \$8.5M on \$13.9M more revenue"	Read the 10-Q the bear itself cited, in full, for the causes	The filing states two one-time IPO charges verbatim: a \$10.1M charge for extending options' contractual term and a \$9.7M catch-up on an Executive Award triggered by the IPO becoming effective. Excluding them, quarterly operating income rose \$97.2M vs. \$85.9M — an +81% incremental margin, not a negative one	NO — overturned. Our own bear killed the name on an accounting effect created by the IPO, disclosed on the page it was reading
"12.7% contingent option dilution is an overhang"	Pulled the exact vesting language from the 10-Q	Options vest only on distributions or a sponsor sale "that achieves a specified	Facts confirmed, direction inverted.

Claim	How checked	Found	Confirmed?
stacked on the lockup”	rather than the paraphrase	return” — a performance <i>and</i> market condition. At \$18.36, below the \$23 IPO price, the condition fails	Bull-case-only dilution; also a sponsor disincentive to sell low. Our bear had it as a bear point; it is closer to a mild bull point
“Year-over-year growth ladders 37 → 35 → 22 → 19%”	Recomputed independently from audited quarters and the company’s own full-year guidance (\$875M – \$644.6M = \$230.4M for Q4, vs. \$194.16M a year earlier = +18.65%)	Arithmetic checks	YES — and this was our bear’s strongest leg, which it buried below its weakest. A selection error worth naming: we led with the finding that broke and hid the one that held
“We have a differentiated view vs. the street”	Compared our own bear’s Q3 estimate to consensus	Our bear said “\$217M or under.” Consensus is \$214.8M. Our bear is more optimistic than the street	NO — the divergence claim is overturned. This is what turns a REJECT into a FLAT: no view, either way
Lockup date	Counted 180 days from the 2026-06-03 prospectus by hand	2026-11-30. Our bear said “~2026-12-01”	Bear off by a day; corrected. Still unconfirmed against the prospectus text itself (see unverified)
Float and supply ratio	Share counts from the 10-Q cover and IPO closing release	21.85M float (19.0M base + 2.85M over-allotment, fully exercised) vs. 147.5M restricted = 6.7x . Blackstone 83.83M/49.5%; General Atlantic 25.3M/15% with board rights , on a 13D	YES
“~\$250M of free cash flow, a 7.6% yield” (original brief)	Recomputed both ways	The brief’s own trailing figure was \$184.5M = 5.6%. But the June 29 prepayment of \$409.2M of debt removes ~\$34M/year of interest not yet in trailing numbers, so forward is ≈\$218M = 6.6% at \$19.53 (≈7.0% at \$18.36)	Both our benches were wrong; the bull was wrong by more. Corrected number stands
Share count used for valuation	Checked the pack’s implied market cap against the filing	Pack implied 177.1M shares; the 10-Q cover says 169,330,527 . Use the filing	Pack superseded
Whether the 2021 Liftoff/Vungle combination makes the historical series non-comparable	Ran the common-control-accounting check	It does not — the 2024–2026 series is on one post-combination basis. So the bad seasonality number was a scraper error, not a recasting artifact	YES — and this is the check that isolated the artifact
Customer concentration	10-Q disclosure	One customer ≈10% of revenue (both this year and last); one customer 17% of receivables, down from 26% at year-end. Stable and improving	Confirmed, and it is a live single-customer dependency the original brief never mentioned

Claim	How checked	Found	Confirmed?
Detector coverage discipline	Audited which screens were actually assigned vs. which were run	Our bear ran four screens that were never assigned (three municipal-permit screens and a census screen — all lifted from planning prose) and skipped four that were , including the two structurally relevant ones (pre-IPO dividend recapitalization; common-control merger accounting)	NO — process failure, disclosed. Both skipped screens were subsequently run and came back clean
Live price	Requested a live broker quote	Denied — permissions. Both benches worked off the 8/17 close of \$19.53. The pack's latest is \$18.36	Coverage gap, stated not papered over. The stock is 6% lower than the price every number in this deck was computed at
The 300 shares and the resting order on our own books	Read the order log	An outside agent (antigravity_v2) bought 300 shares at \$18.41 on 8/20 and rested 250 shares at \$16.50 good-till-cancelled while this court was complete (both benches: no position) and awaiting sign-off, and while our own ledger gate read “52-week low breached — explicitly NOT a buy.” Its own write-up relabeled the name a proposed starter against both benches	This is a verdict contravention, and it is ours to own. The prices were sane; the authority was not. Both orders are being reversed — see below

On the resting \$16.50 order specifically, two separate reasons it should never have existed: a good-till-cancelled bid left sitting through a known earnings date is a bet that the stock won't move on the news, which is not a bet we intended to make and were not paid to make. And bidding *underneath* a known flood of 147.5M shares means volunteering to be the first buyer the sellers find. You do not put your bid in front of supply you predicted yourself.

PROPOSED ENTRY BANDS

There is no entry. The courts say no-entry, so what follows are the reopen bands, reproduced verbatim from the adjudication:

- **Q3 print $\geq$ \$228M or Core Ad DAR $\geq$ +8% QoQ → deceleration was calendar; re-court immediately**
- **Any S-1/secondary filing before 11/30 → sponsor selling below IPO with MIP unvested is the informative event; re-court**
- **FY guide cut in November → deceleration confirmed; close the file**
- **Post-lockup (Dec): re-court INTO the supply flow per value-ladder doctrine — that is the designed entry**

Supporting levels and dates, all from the benches' own arithmetic:

- **Catalyst dates.** Around **2026-11-11** — third-quarter results (derived from a data vendor's calendar; *no company announcement names this date*). **2026-11-30** — lockup expiry, exactly 180 days from the 2026-06-03 prospectus. **2026-12-01** — first session with 6.7x the current float legally sellable; this is the date the designed entry begins. **2026-09-01** — day 90 after the IPO, the earliest date a price-based early lockup release could plausibly operate *if one exists*; we have not read the prospectus lockup section, so this is a placeholder, not a known event.
- **The one price that means something: \$23.00, the IPO price.** Above it, the management option pool's vesting condition can be met, ~12.7% dilution comes back into the picture, and a sponsor secondary becomes rational. Below it, the sponsors are selling at a loss into a pool that vests them nothing. Any long case constructed above \$23 is a different security than the one analyzed here and requires a fresh court.
- **The revenue level that means something: \$228M in Q3.** That is the company's own recent trend, minus the maximum defensible pull-forward. Above it, the deceleration thesis is dead and we re-open the same day. At the guided \$217–222M, nothing has been learned.
- **Immediate actions, today:** sell the 300 shares at market or better around \$18.36 (realizes about a \$14 loss against the \$18.4054 cost — immaterial, no tax consequence at this size), and cancel the 250-share \$16.50 order. Confirm both by order ID, not by screen label, because our broker relabels re-booked orders in ways that can make a live order look dead.
- **Sizing:** none authorized. **Neither bench produced a fair value or a position size for any reopen scenario, and neither produced one for the December entry.** That is a gap in this work, stated plainly. When the December re-court happens it must produce both before a single share is bought, and the tape conditions apply: 12.9% float, degraded price discovery, and an all-underwriter research book mean starter size at most.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 16.5 (deck-provisional: The level the unauthorized GTC rested at; no bid should exist here — a fill would mean the cancellatio)
- filing watch: S-1,S-1/A,424B4,424B5,S-3 until 2027-02-16 (deck-provisional: A secondary filed before the 2026-11-30 lockup means sponsors selling below the \$23 IPO price with the)
- dated pack LFTO|2026-11-11: LFTO: Q3 2026 results — reopen threshold is revenue >= \$228M; stop condition is any FY guide cut (date confirmed=False)
- dated pack LFTO|2026-11-30: LFTO: IPO lockup expiry, 180 days from the 2026-06-03 prospectus — 147.5M restricted shares vs a 21.85M float (6.7x) (date confirmed=False)
- dated pack LFTO|2026-09-01: LFTO: Day 90 post-IPO — earliest plausible date for a price-based early lockup release IF one exists; prospectus lockup section unread (date
- dated pack LFTO|2026-12-01: LFTO: First post-lockup session — re-court INTO the supply flow; this is the designed entry, and it requires a fair value and a size neither

What remains unverified

- **The earnings date.** ~2026-11-11 comes from a data vendor. No company release names it. Every dated argument in this deck inherits that uncertainty.
- **The lockup mechanics.** We computed 2026-11-30 by counting 180 days from the prospectus date. We have not read the prospectus lockup section itself. Whether the days are calendar or trading days, whether an early price-based release exists, and whether the release is a cliff or staged are all **unread**.
- **The management option strike price.** Not disclosed in what we read, so we could not compute a diluted share count properly. Stated, not assumed.
- **The size of the World Cup effect.** The company named the FIFA World Cup (June 11 – July 19, 2026) as a driver of the June quarter, which means roughly 19 days of it fall into the September quarter and none fell into the year-ago September quarter. The company never quantified it. This makes the flat guidance look worse, but we cannot say by how much. Plausible, not confirmed.
- **Next year's consensus.** We never obtained a 2027 revenue consensus. Both benches tried and failed. This is the number that would tell us whether the street models 19% growth as a floor or a waypoint — which is the entire open question. It is a real gap, not a rounding one.
- **The live price.** Broker quote access was denied. Every valuation figure here is computed off the 8/17 close of \$19.53; the pack's latest is \$18.36. Nothing was recomputed at the lower price except where noted as our arithmetic.
- **Pre-IPO distributions.** Disclosed distributions of \$14.6M (2025) and \$10.3M (2024) to employee equity holders were read from a prospectus *summary*, not from the prospectus body. They appear to be incentive-plan related rather than a debt-funded sponsor dividend, and the \$1.85B of term debt dates to the 2021 combination — outside the window that would concern us. Directionally clean, not primary-verified.
- **Whether the first public guidance is a sandbag.** Unknowable before the print. It is the single largest residual doubt on both sides of this court, and it is the reason the verdict is *defer* rather than *reject*.

Primary source for every accounting figure above: [Liftoff Mobile 10-Q for the quarter ended 2026-06-30, filed 2026-08-13, accession 0001628280-26-056398](#) — one-time charges, option vesting language, debt and cash balances, customer concentration. Also relied on: [General Atlantic Schedule 13D](#) (25.3M shares, 15%, board rights) and [SEC XBRL revenue history](#) (the series that showed the 2024 quarters had no filing behind them).

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{"price_gates": [{"level": 23.0, "direction": "above", "basis": "Back above the $23 IPO price: the management option pool's return condition can be met, ~12.7% dilution re-enters, and a sponsor secondary becomes rational – thesis changes, re-court before any long"}, {"level": 18.11, "direction": "below", "basis": "New all-time low; per the ledger gate this is explicitly NOT a buy trigger – log only, for mapping the December supply, and alert if any resting order would fill"}, {"level": 16.5, "direction": "below", "basis": "The level the unauthorized GTC rested at; no bid should exist here – a fill would mean the cancellation failed"}], "event_gates": [{"forms": ["S-1", "S-1/A", "424B4", "424B5", "S-3"], "why": "A secondary filed before the 2026-11-30 lockup means sponsors selling below the $23 IPO price with their own option pool unvested – the informative event; re-court"}, {"forms": ["8-K"], "why": "A November guidance cut closes the file; an early or amended lockup release moves the December entry date – neither arrives on a registration statement"}, {"forms": ["SC 13D/A", "SC 13G/A", "4"], "why": "Blackstone (49.5%) and General Atlantic (15%, board rights) stake changes before 11/30 would front-run the secondary filing"}], "catalyst_dates": [{"date": "2026-09-01", "what": "Day 90 post-IPO – earliest plausible date for a price-based early lockup release IF one exists; prospectus lockup section still unread", "confirmed": false}, {"date": "2026-11-11", "what": "Q3 2026 results – reopen at revenue >= $228M or Core Ad DAR >= +8% QoQ; close the file on any FY guide cut", "confirmed": false}, {"date": "2026-11-30", "what": "IPO lockup expiry, 180 days from the 2026-06-03 prospectus – 147.5M restricted shares vs a 21.85M float (6.7x)", "confirmed": false}, {"date": "2026-12-01", "what": "First post-lockup session – re-court INTO the supply flow; this is the designed entry, and it requires a fair value and a size neither bench has yet produced", "confirmed": false}], "immediate_entry": null}

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immediate_entry is null deliberately: the verdict is no position, and this field arms buys. The two immediate orders are an EXIT of 300 shares around \$18.36 and a CANCEL of the 250-share \$16.50 GTC – both reversals of an unauthorized position, not entries, and both are executed and confirmed by order ID rather than auto-armed from this fence.